



STRATHMORE BUSINESS SCHOOL
MASTERS OF BUSINESS ADMINISTRATION
END OF SEMESTER EXAMINATION
MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: Thursday, 3rd August 2017

Time: 3 hours

Instruction

1. This examination consists of **FOUR** questions.
2. Answer Question **ONE** and **ANY OTHER TWO** questions.

Question 1 (50 Marks)

Use the case provided to answer this question.

- a) Describe the main business of the company. **(4 marks)**
- b) Highlight the key items of income, expenses, assets, liabilities, capital and cash flows.
Compare the 2015 figures to 2016 and provide possible reasons for the changes.
(22 Marks)

Hint: You can summarize your answer using the following table:

Item	2015 Sh. billion	2016 Sh. billion	Change Sh. billion	Possible reason(s)

c)

- i. Compute the following ratios for years 2015 and 2016 **(6 Marks)**
 - I. Net profit margin
 - II. Return on equity
 - III. Current ratio
 - IV. Debt ratio
 - V. Total assets turnover ratio

VI. Dividend per share

- ii. Comment on profitability, liquidity, solvency and efficiency over the two years.

(4 Marks)

- d) Given the case and as far as information permits, carry out performance analysis for 2016 using the balanced scorecard and applicable goals and measures. Apply the 4th generation balance score card model that has an additional component of sustainability perspective.

(14 Marks)

Question 2 (25 Marks)

- a) Managers and other users need financial statements to make important decisions. For this reason, the accounting profession is regulated to ensure financial statements are of high quality and that users can rely upon them. Explain FIVE sources of regulation of the accounting profession. **(10 Marks)**
- b) Weston Mochari founded Wemo Enterprises some years back. The business has been successful and has grown to become medium size. In order to take it to the next level, he has appointed a new General Manager – Mary Mawaidha, to stream line operations and implement new strategies. Among other things, the first task for Mary is to determine the wealth of Weston at the beginning and the end of the year and how the business has performed during the year to 30 June 2017.

Unfortunately, Mary is only able to get some sections of the ledger and other lists of balances.

These are summarized as follows:

	Cash at Bank	
	sh.000	sh.000
Balance 1 July 2016	5,720	Purchases 100,070
Trade Receivables	131,790	Expenses 29,500
Cash in Hand	146,050	Drawings 112,500
Balance 30 June 2017	<u>31,510</u>	Delivery van <u>73,000</u>
	<u>315,070</u>	<u>315,070</u>

	Cash in Hand	
	sh.000	sh.000
Balance 1 July 2016	620	Trade Payables 18,500
Trade Receivables	163,000	Expenses 3,750
		Cash at Bank 146,050
		Drawings 670
		Balance 30 June 2017 <u>500</u>
	<u>163,620</u>	<u>163,620</u>

	Trade Receivables	
	sh.000	sh.000
Balance 1 July 2016	18,500	Cash in hand 163,000
Sales	296,990	Bank 131,790
		Balance 30 June 2017 20,700
	<u>315,490</u>	<u>315,490</u>

	Trade Payables	
	sh.000	sh.000
Cash in hand	18,500	Balance 1 July 2016 12,500
Bank	100,070	Purchases 120,270
Balance 30 June 2017	<u>14,200</u>	<u>0</u>
	<u>132,770</u>	<u>132,770</u>
		1-Jul-16 30-Jun-17
Inventory		26,500 29,900

Mary ascertains that depreciation on Motor vehicles is at 20% per annum on cost.

Required

- Determine the capital at the beginning of the financial period. **(3 Marks)**
- Prepare the statement of profit or loss for the year ended 30 June 2017 and a statement of changes in capital. **(4 Marks)**
- Prepare the statement of financial position as at 30 June 2017. **(4 Marks)**
- Highlight TWO key areas of concern that Mary needs to raise with Weston based on these financial statements. **(4 Marks)**

Question 3 (25 Marks)

- Medusa Limited buys and sells different types of toys. Michael, the marketing director is negotiating with Magdalene, the managing director for a higher allocation of budget to advertising. Michael claims that “the higher the advertising expense, the higher the revenues”.

So, Magdalene requests Michael to prove it and Michael presents the following data on advertising costs and revenue for the year ended 30 June 2017:

	Advertising Expense	Revenue
	sh.	sh.
Jul-16	200,000	3,000,000
Aug-16	400,000	6,000,000
Sep-16	200,000	4,000,000
Oct-16	300,000	6,000,000
Nov-16	100,000	3,000,000
Dec-16	100,000	4,000,000
Jan-17	200,000	4,000,000
Feb-17	200,000	5,000,000
Mar-17	200,000	3,000,000
Apr-17	300,000	7,000,000
May-17	100,000	4,000,000
Jun-17	400,000	6,000,000

Michael also presents the following regression output of the data:

SUMMARY REGRESSION OUTPUT					
<i>Regression Statistics</i>					
Multiple R	0.765282543	R Square	0.585657371	Standard Error	930949.3363
<i>ANOVA</i>					
	<i>df</i>	<i>SS</i>	<i>MS</i>	<i>F</i>	<i>Significance F</i>
Regression	1	1.225E+13	1.225E+13	14.13461538	0.003724583
Residual	10	8.66667E+12	8.66667E+11		
Total	11	2.09167E+13			
	<i>Coefficients</i>	<i>Standard Error</i>	<i>t Stat</i>	<i>Lower 95%</i>	<i>Upper 95%</i>
Intercept	2,333,333.33	656037.7181	3.556706069	871590.2053	3795076.461
Slope	10	2.659855246	3.759603089	4.073473185	15.92652682

Required

- Michael claims that if advertising expense is allocated a budget of sh.500,000 in August, he is confident that Revenues will exceed sh.7 million. Using the data from the regression output, confirm if this will be the case. **(4 Marks)**
- Magdalene explains that the budgetary allocation to advertising expense cannot exceed sh.400,000 per month due to other pressing needs of the organization. She advises Michael and his team to work hard and use other marketing strategies to increase revenues. Magdalene says that she is confident that they can still achieve

more revenues with less expenditure allocation based on data provided by Michael. Determine revenues at the 95% confidence interval. **(4 Marks)**

iii. Magdalene questions Michael to justify whether his regression data is reliable. How is Michael able to do this? **(4 Marks)**

b) The factory manager, Clement is looking at data on various toys that the company makes. The four toys are shaped like fruits so they are named Apple, Banana, Cherrie and Date. In consultation with Michael, the company would like to determine the cost per unit of each toy and there after the price. Price is usually set at 50% markup.

The only issue is on whether to use traditional approach to absorb overheads or use Activity Based Costing (ABC).

The following data relates to the four toys:

	Apple	Banana	Cherrie	Date
Output in units	120	100	80	120
Machine Hours Per unit	4	3	2	3
	sh.	Sh.	sh.	sh.
Direct Material Costs per unit	40	50	30	60
Direct Labor cost per unit	28	21	14	21

The four products are similar and are usually produced in production runs of 20 units and sold in batches of 10 units.

The total production overhead costs are given as follows:

	sh.000
Machine department costs (rent, supervision etc)	10,430
Set up costs	5,250
Stores receiving	3,600
Inspection/quality control	2,100
Materials handling and dispatch	<u>4,620</u>
Total Production Overheads	<u>26,000</u>

For the purpose of traditional costing, total production overheads are absorbed using machine hours.

For Activity Based Costing the following are the cost drivers:

Cost	Cost driver
Set up costs	Number of production runs
Stores receiving	Requisitions raised
Inspection/quality control	Number of production runs
Materials handling and dispatch	Orders executed

The number of requisitions raised on the stores was 20 for each product and the number of orders executed was 42, each order being for a batch of 10 of a product.

Required

- i. Determine the cost and price per unit using traditional costing **(5 Marks)** and Activity Based Costing **(6 Marks)** **(11 Marks)**
- ii. Comment on the suitability of Activity Based Costing for each product **(2 Marks)**

Question 4 (25 Marks)

a)

- i. Distinguish between Incremental budgeting and Zero Based Budgeting highlighting one benefit and limitation of each. **(6 Marks)**
- ii. Cross Ltd, a small company is scheduled to commence business on 1st August 2017 selling kitchen appliances to retailers. The company has approached their banker for an overdraft facility. The bank will only disburse the overdraft in the last quarter of 2017 and hence has demanded a cash budget for the same period. The following information has been assembled for this purpose:

	Estimated Sales Sh '000'	Estimated Purchases (units)
August	6,000	5,000
September	6,000	5,000
October	11,400	9,000
November	16,800	20,000
December	18,600	12,000

It is estimated that 60% of the customers will pay in the month of sale, 20% of the customers will pay the month following the month of sale and 15% the month following month i.e. second month of the sale while the balance may not pay.

The current purchase price of Sh. 600 per unit is expected to rise by 20% on 1 October and by another 25% on 1 November. Disbursements to suppliers are made in full in the month following the month of purchase.

The company anticipates paying general and administration expenses at the rate of Sh. 2,400,000 a month payable as incurred while obligation under a medium-term lease payable at the commencement of each quarter amount to Sh. 300,000 per month beginning 1 August.

Corporation tax of Sh. 4,500,000 is will be paid in December while Sh. 6,000,000 will be paid to a supplier for purchase of a delivery Van in the same month.

The bank balance on 30 September 2017 is expected to be Sh. 500,000. Financing attracts interest at the rate of 24% per annum charged in the month following the month of utilizing the overdraft.

Required

Prepare a cash budget for the last quarter of 2017

(9 Marks)

- b) Mumias Textile company manufactures and sells textiles to different retailers in the western county of Kenya. The company is experiencing challenges due to cheap imports of ready-made clothes. As a way of reducing input costs, the company is now considering reducing the cost of making the different textile materials by buying from foreign suppliers where it would be cheaper.

The following data relates to three textiles:

	Cotton	Silk	Linen
Production Rolls	20,000	40,000	80,000
Production Cost Per Roll:	sh.	sh.	sh.
Direct Materials cost	800	1,000	400
Direct Labor Cost	1,600	1,800	800
Direct Expense	400	600	400
Allocated Fixed Cost	800	1,000	400
Purchase price from foreign suppliers	2,750	4,200	2,000

The Allocated Fixed Cost per roll will be re-allocated to other sections of the company if the decision is to procure from the foreign suppliers.

Required

- Determine which of the textiles the company should procure from foreign suppliers **(6 Marks)**
- Any TWO qualitative factors that the company should consider in procuring from outside suppliers **(4 Marks)**